

Generative AI's Act Two

From Technology Hammer to Real Value

Sequoia Capital

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Six Decades of Technological Progress Converged to Enable Generative AI

SIX DECADES OF MOORE'S LAW

Delivered the compute horsepower to process exaflops of data — the engine behind every AI breakthrough.

FOUR DECADES OF THE INTERNET

Accelerated by COVID, produced trillions of tokens of training data — the fuel for foundation models.

TWO DECADES OF MOBILE & CLOUD

Put a supercomputer in every human's palm — the distribution layer that made AI instantly accessible.

Generative AI's emergence is not a sudden event but the culmination of decades of technological progress.

ChatGPT was the spark that ignited a Cambrian explosion of innovation

GenAI Startups Surpassed \$1B Revenue Faster Than SaaS Ever Did

>\$1B

Startup revenue in months
vs. years for SaaS

Despite early commercial traction, many AI companies lack product-market fit or sustainable competitive advantage. Excitement turned to hysteria — every company became an “AI copilot” and the \$100M pre-product seed round returned.

ChatGPT

Fastest-growing application in history, with strong product-market fit among students and developers.

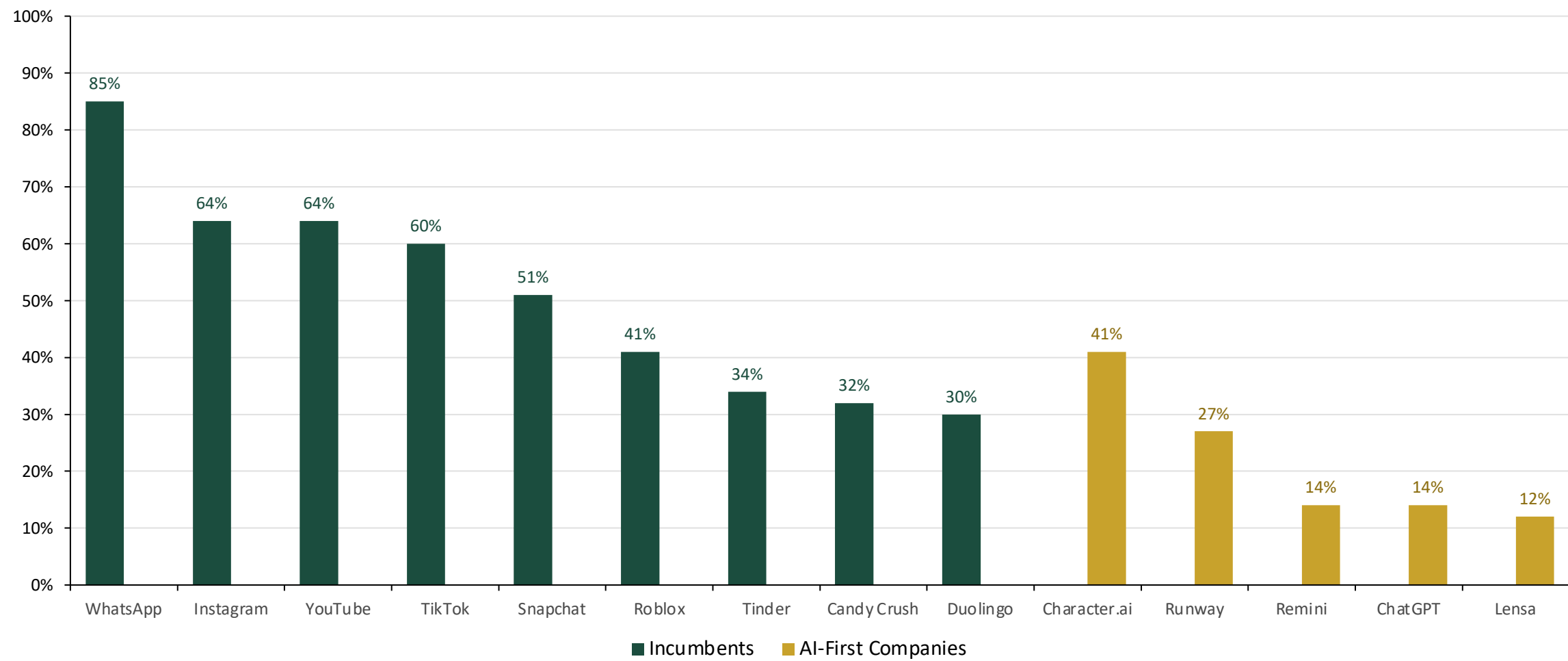
Midjourney

Hundreds of millions of dollars in revenue with a team of just 11 people.

Character.ai

Popularized AI entertainment and companionship; users spend an average of 2 hours per session in-app.

AI-First Apps Show 14% Median Retention vs. 51% for Incumbents

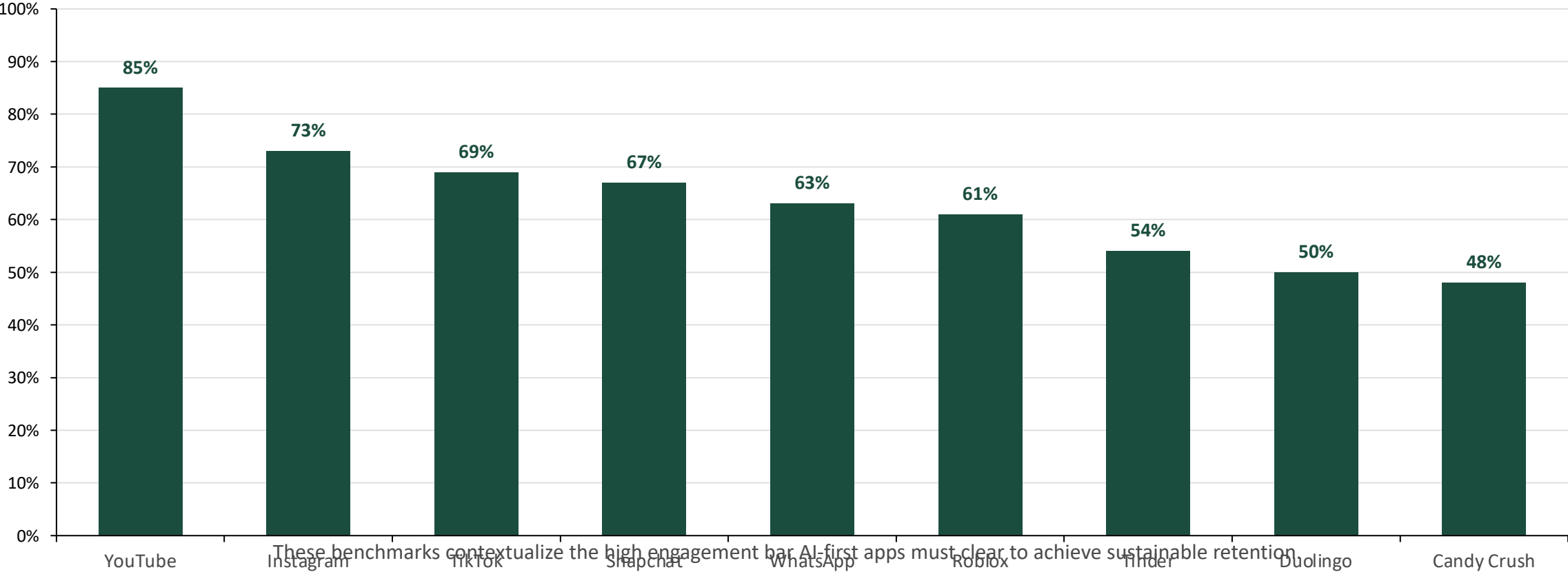


Incumbent Median: 51%

AI-First Median: 14%

YouTube Leads Incumbents at 85% Monthly Active Usage

Monthly Active Usage (%)



Incumbent Median: 63% Monthly Active Usage

Act 1 Was Technology-Out; Act 2 Is Customer-Back

ACT 1: TECHNOLOGY-OUT

- Foundation models as the entire solution
- Novelty apps and cool demos
- Lightweight wrappers around APIs
- Poor user retention and stickiness
- "Technology hammer looking for a nail"



ACT 2: CUSTOMER-BACK

- Foundation models as a piece of a comprehensive solution
- New editing interfaces for stickier workflows
- Multi-modal by nature
- End-to-end problem solving, not thin wrappers
- Solves real human problems holistically

Act 2 Exemplars: Harvey (Legal) | Glean (Enterprise Search) | Character & Ava (Companionship)

Market Map Reorganized by Use Case, Not Model Modality

ACT 1: Organized by Model Modality

- Text — Language models, chatbots
- Image — Image generation, editing
- Code — Code completion, generation
- Audio — Voice synthesis, music
- Video — Video generation, editing



ACT 2: Organized by Use Case

- Legal — Harvey (custom LLMs for elite law firms)
- Enterprise Search — Glean (workspace indexing)
- Companionship — Character & Ava
- Creative Tools — Multi-modal workflows
- Productivity — End-to-end solutions

This reorganization mirrors the broader Act 1 → Act 2 transition: from technology hammer to actual value delivery, reflecting the increasingly multi-modal nature of applications.

Key Takeaways: What Separates Winners in Act Two

1

Retention is the critical challenge

AI-first apps at 14% median retention vs. 51% for incumbents — a 3.6× disadvantage.

2

Foundation models should be a component, not the whole product

Act 2 winners integrate models into comprehensive, workflow-driven solutions.

3

Multi-modal, workflow-integrated solutions will win

New editing interfaces and end-to-end workflows create stickiness that thin wrappers cannot.

4

The \$1B+ revenue milestone proves real demand exists

Despite hype-cycle skepticism, generative AI's commercial start outpaced SaaS.

5

Companies solving end-to-end human problems will define Act 2

Customer-back thinking replaces technology-out; use-case-driven categories replace model modalities.